

Financial Accounting

BBA — 2nd Semester — 2024 — Answer Sheet
Subject Code: ACC201

Note: This answer sheet is currently a template. Detailed answers will be added progressively. Students are encouraged to refer to textbooks and class notes.

Section A

Brief Answer Questions: [10 × 2 = 20]

1. Define patent.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

2. What is intangible asset?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

3. What do you mean monetary concept?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

4. What do you mean by GAAP?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

5. What are the different types of cheque?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

6. The following particulars are provided to you: Profit for the year Rs 40,000 Loss on revaluation Rs 21,000 Gain from cash flow hedges Rs 26,000 Gain on sale of investment Rs 25,000 Required: Statement of Other Comprehensive Income as per NFRS

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

7. The following transaction is given: > Started business with Cash Rs 150,000, machinery Rs 60,000, and stock Rs 40,000 > Salary paid Rs 55,000 including an advance of Rs 5,000. Required: Accounting Equation.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

8. You are given the following information about the PQ Company Ltd on 31st December 2022: Particulars Amount Rs.5000 equity shares of Rs.100 per share 500,000 Share premium 150,000 Retained earnings 200,000 Total shareholder's equity 750,000 The following transition occurred during the year 2023: Issued an additional 2,000 shares of Rs 100 each at Rs.120 each. The company earned a Net Profit of Rs 75,000 during the year. The company declared and paid a dividend of Rs 40,000 during the year. Required: Statement of change in Equity at the end of 2023.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

9. Advance Company acquired Cheeps-making machinery of Rs 1,000,000 with a salvage value of Rs 100,000. It has the expected capacity of producing 450,000 packets of cheeps during its life. It produces 110,000 packets of cheeps in year 1 and 150,000 packets in cheeps in year 2. Required: Depreciation for the year 1 and year 2.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

10. The following information are given: > Rs 60,000 was invested as a capital > Purchase goods for Rs 200,000 and paid partially Rs 150,000 on cash Required: Journal Entries

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section B

Short Answer Questions: (Attempt any SIX Questions) [6 × 5 = 30]

11. Write about accounting process.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

12. Differentiate between revenue and capital expenditure with examples.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

13. What is ledger? Why it is needed?

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

14. Following are the information of assets of a Company: Particulars Year 1 Sales 10,000 Cost of Sales 6,000 Gross Profit 4,000 Expenses 1,500 Depreciation 500 Interest on Working Capital 800 Interest on loan 400 Profit before tax 800 Provision for Tax 200 Required: Vertical Analysis

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

15. The following transactions are given: 1st January 2021 Machinery purchased Rs 300,000. 1st July 2022 Additional machinery purchased Rs. 400,000. 30th June 2023 Machinery purchased on 1st January was sold for Rs. 270,000. Additional Information: > Depreciation is to be provided at the rate of 15% per annum on the basis of Straight Line Method. > Accounts are closed on 31st December, each year. Required: Machinery account from 2021 to 2023

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

16. The bank statement of a company shows a balance of Rs. 50,000 on 30th Ashwin 2081. However the company balance showed a different balance of Rs 36,000. On the investigation, the following differences were noticed: > Outstanding cheque Rs 30,000 ~> Deposit in transit Rs 20,000 r

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

17. > A customer's cheque of Rs 5,000 was return with the bank statement marked NSF. ~> Collection of notes receivable for Rs 4,000 and interest on investment Rs 2,000 *> Bank charge Rs 2,000 for the service provided by the bank ~> Bank paid Rs 11,000 but the company recorded Rs 16,000 in its statement. Required: Bank reconciliation statement
The following particulars are extracted from the trial Balances of a manufacturing firm.
Tax paid 70,000 Dividend paid 30,000 Office supplies 90,000 Dividend received 30,000 Sales 1,200,000 Sundry debtors 180,000 Raw material purchase 550,000 Factory overheads 100,000 Manpower cost 250,000 Selling overhead 50,000 Capital employed 600,000 Depreciation expenses 60,000 Interest expenses 20,000 Motive power 10,000
Required: (a) Value-added statement and (b) Net profit for the year

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section C

Long Answer Questions: (Attempt any THREE Questions) [3 × 10 = 30]

18. "Accounting information is essential for taking right decisions in any organization." Explain.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

19. Write about concept, importance and limitations of accounting standard.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

20. The Trial Balance of KK company as of 31st December 2023 is given below:

Particulars	Debit (Rs.)	Credit (Rs.)
Equity share capital	300,000	
Building	200,000	
Copyright	20,000	
10% Debenture	100,000	
Interest on Debenture	5,000	
Revenue from operation		470,000
Purchases	250,000	
Salaries & wages	35,000	
Cash at bank		40,000
8% Investment	100,000	
Account payable	76,000	
Account receivable		40,000
Commission received		18,000
Prepaid insurance	24,000	
Office rent	26,000	
Plant & Equipment	200,000	
Marketing expenses	30,000	
Interest on investment	6,000	
Total	970,000	970,000

Adjustment: > Stock at the end of the year Rs 50,000. > Depreciation on Building is 5% and Plant & Equipment is 15%. > Salary to be paid Rs 5,000. > Prepaid insurance expired during the year Rs 20,000. Required: a) Profit and Loss Statement for the year ending 31st December. b) Statement of Financial Position as on 31st December.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

21. The KK Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:

Statement of Profit and Loss for the year 2023

Particulars	Amount (Rs.)
Revenue from operation	1,200,000
Less: Cost of sales (800,000)	
Gross margin	400,000
Add Other income (including dividend received Rs 10,000)	60,000
Total	460,000
Less: Distribution expenses (100,000)	
Less: Administrative expenses (write-off of goodwill Rs 10,000 and depreciation of Rs 90,000)	(260,000)
Operating Profit	100,000
Less: Finance cost (25,000)	
Net profit before tax	75,000
Less: Provision for tax (18,750)	
Net profit after tax	56,250
Less: Dividend paid (6,000)	
Retained Earnings	50,250

Statement of Financial Position of a company for 2022 and 2023

Assets	2022	2023
Non-Current Assets:		
Property, plant and equipment	500,000	600,000
Intangible assets (Goodwill)	40,000	30,000
Investments	160,000	220,000
Total Non-Current Assets	700,000	850,000
Current Assets:		
Inventories/Stock	40,000	50,000
Cash and cash equivalents	50,000	60,000
Account receivables	60,000	50,000
Trade and Other receivables	50,000	40,000
Total Current Assets	200,000	200,000
Fictitious Assets--Total Assets (Total Non-current and Current Assets)	900,000	1,050,000
Equity:		
Share capital @Rs.100 each	500,000	600,000
Reserve/Retained earnings	30,000	80,250
Non-controlling interests--Total Equity	530,000	680,250
Liabilities		
Non-Current Liabilities:		
10% Loans and borrowings	250,000	351,000
Total Non-Current Liabilities	250,000	351,000
Current Liabilities:		
Trade and other payable	50,000	
Income tax liabilities	18,750	
Provisions	70,000	
Total Current-Liabilities	120,000	18,750
Total Liabilities (Total Non-current and Current)	370,000	369,750
Total Equity and Total Liabilities	900,000	1,050,000

Required: Statement of Cash Flow under NFRS

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

Section D

Comprehensive Answer/ Case / Situation Analysis Questions:[20]

22. The XYZ Company's Statement of Profit and Loss account and Statement of Financial Position for two years have been given below:

Statement of Profit and Loss for the year 2080

Particulars	Amount (Rs.)
Revenue from operation	6,00,000
Cost of sales	(400,000)
Gross profit	200,000
Other income	20,000
Total	220,000
Distribution expenses	(60,000)
Administrative expenses	(115,000)
Operating profit	45,000
Financial cost	(7,500)
Net Profit	37,500

Statement of the financial position of a company for 2079 and 2080

Assets	2079	2080
Non-current assets:		
Property, plant, and equipment	200,000	250,000
Intangible assets	10,000	7,500
Investment (long-term)	45,000	55,000
Total Non-current Assets	255,000	312,500
Current Assets:		
Inventories / Stock	20,000	30,000
Cash and cash equivalents	25,000	30,000
Account receivable	20,000	15,000
Trade and Other receivable	15,000	20,000
Total current assets	80,000	95,000
Fictitious assets	--	--
Total assets	335,000	407,500
Equity:		
Share capital @Rs.100 each	200,000	225,000
Reserve/Retained earnings	45,000	82,500
Non-controlling interest	--	--
Total Equity	245,000	307,500
Liabilities:		
Non-current liabilities:		
10% Loan and Borrowing	60,000	75,000
Total non-current liabilities	60,000	75,000
Current liabilities:		
Trade and Other payable	15,000	25,000
Income tax payable--Provision	15,000	--
Total current liabilities	30,000	25,000
Total liabilities	90,000	100,000
Total Equity and Liabilities	335,000	407,500

Required: Financial analysis for 2080:

- Current ratio (2:1)
- Acid test ratio (1:1)
- Debt to total capital ratio (less than 40%)
- Stock turnover ratio (at least 8 times)
- Total assets turnover ratio (more than 1 time)
- Net profit margin (at least 12%)
- Return on assets (at least 5%)
- Return on equity (at least 7%)
- Average sales period (45 days or less than 45 days)
- Account receivable turnover ratio (at least 8 times)
- Comment on the above result.

Answer: [Detailed answer will be added soon. Students should write a comprehensive answer covering key concepts, examples, and diagrams where applicable.]

These answer sheets are prepared for educational purposes. Students are encouraged to verify with official textbooks and course materials.